Module 7

Capital Budgeting

FINE 3010, Financial Management

Prof. Renping Li, Tulane University

Goals

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- How to decide what project(s) to do? The tool is the NPV rule
- But to use NPV, we need a project's cash flows
- Here, combine what we know about accounting and cash flow effects (**Module 2**) with the NPV rule (**Module 6**), to decide whether or not to accept a project
- **Capital budgeting**, the process of analyzing capital investment opportunities ("projects") and deciding which ones to accept

Roadmap

Should we invest in a project (e.g., a data center)?

NPV > 0?

Recall from **Module 6**

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How to forecast cash flows?

- Similar to **Module 2**, indirect method for cash flow
- But different, cash flow from a project, not a whole firm

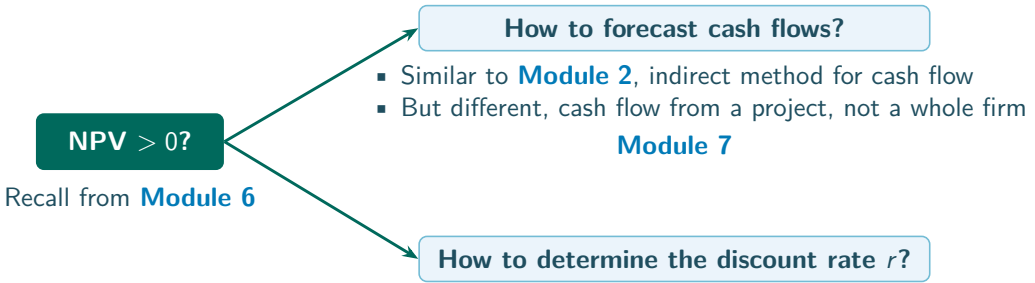
Module 7

NPV > 0?

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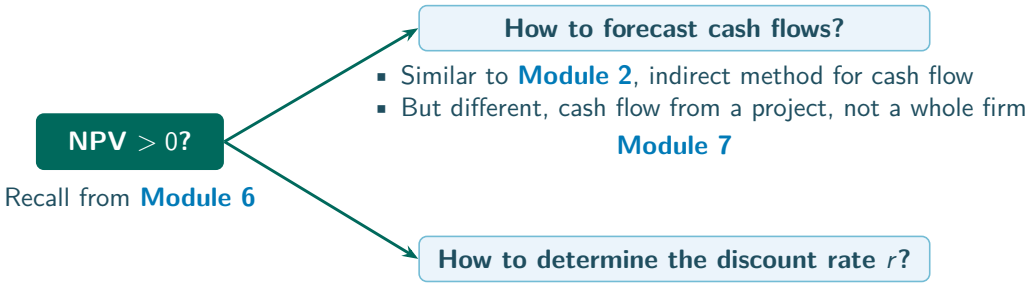
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Motivating Example, Is AI Spending a Bubble?



CNBC, August 12, 2026 (7:21), "We're 'absolutely' in an AI bubble right now, says Lead Edge Capital's Mitchell Green"

Module 7, Part 0

Review of the Statement of Cash Flows

Statement of Cash Flows

Recall from **Module 2**

- **Cash flow**, cash actually received minus cash actually paid, no matter when the sale was made

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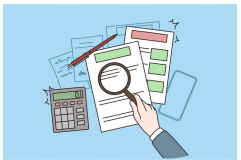
Recall from **Module 2**

Direct method	Indirect method
Lists every cash receipt and payment	Starts from net income and adjusts it
More time-consuming to prepare	Faster to prepare
Rarely used in practice	**The common choice**

Direct →



Indirect →



Statement of Cash Flows

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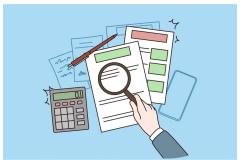
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Indirect →



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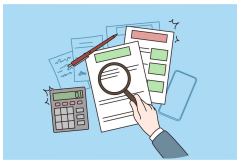
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- We will follow the indirect method, starting from net income in the income statement

Direct →



Indirect →



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Cash flow (\$ billions)	**−2.0**	0	0	0	0	0	
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Relationship of cash flow (CF) and net income (NI)?
When spending on fixed assets, CF = NI − spending on fixed assets
When recording depreciation, CF = NI + depreciation

How Do Net Income and Cash Flow Differ?

Recall from **Module 2**

- The firm spends $60 million producing AI control panels
- None of them have been sold yet



OpenAI, July 15, 2026 (2:15),
"Introducing the Codex Micro"

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Recall from **Module 2**

- The firm owed suppliers $30 million for electronic parts
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When firm pays off suppliers, CF = NI + change in accounts payable

Operating Activities

Recall from **Module 2**

Operating activities, cash from running the business day to day

Steps to calculate cash flow from operating activities,

1. **Start** with net income
2. **Add** depreciation
3. **Subtract** change in net working capital (NWC)
   - NWC = inventories + accounts receivable − accounts payable
   - NWC, cash tied up in day-to-day operations, in unsold goods and unpaid bills

Why Subtract Change in Net Working Capital (NWC)?

Recall from **Module 2**

When adding to inventories, CF = NI − change in inventories

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$$CF = NI - \text{change in net working capital (NWC)}$$

Investing Activities

Recall from **Module 2**

Investing activities, cash spent buying fixed assets and cash received from selling them

Investing activities show cash flows from,

1. Capital purchased and sold
   - **Capital**, a firm's fixed assets
   - **Capital expenditure**, the amount spent on buying capital during the period
   - Cash flow is *negative* if firms buy capital

Financing Activities

Recall from **Module 2**

Financing activities, cash raised from lenders and shareholders, and cash returned to them

Recap of Part 0

Recall from **Module 2**

- The statement of cash flows, cash receipts and payments over a period
- Net income $\neq$ cash flow
- The statement has three parts
  - **Operating activities**, cash flow = Net income + Depreciation − Change in NWC
  - **Investing activities**, cash spent buying fixed assets and cash received from selling them
  - **Financing activities**, cash raised from lenders and shareholders, and cash returned to them

Module 7, Part 1

Project Cash Flow

Firm Cash Flow vs. Project Cash Flow

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Firm Cash Flow vs. Project Cash Flow

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- **Operating activities**, the same idea, project net income plus depreciation minus the change in NWC
- **Investing activities**, the project's capital investments, buying its assets at the start
- **Financing activities**, *none*, we do not consider financing activities when evaluating a project on its own

Identify Project Cash Flow

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$$\text{Cash flow from a project} = \begin{cases} \text{Project net income} & \text{Component 1} \\ + \text{ Depreciation} & \text{Component 2} \\ \text{Cash flow from changes in NWC} & \text{Component 3} \\ \text{Cash flow from capital investments} & \text{Component 4} \end{cases}$$

Component 1, Project Net Income

- While the project operates, it earns revenues and incurs expenses

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Revenues from the project
– COGS and SG&A expenses for the project
– Depreciation for the project's capital investment
Project EBIT
– Taxes (tax rate $\times$ project EBIT)
Project net income

Component 2, Depreciation

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- To get cash flow from the project, add back depreciation, as in **Module 2**

Example, Project Net Income and Depreciation

- A project requires an investment in fixed assets of $2,000. The project's revenues minus its COGS and SG&A expenses are $1,100 in year 1 and $1,300 in year 2. The investment is depreciated at $1,000 per year. The corporate tax rate is 21%

Example, Project Net Income and Depreciation

- A project requires an investment in fixed assets of $2,000. The project's revenues minus its COGS and SG&A expenses are $1,100 in year 1 and $1,300 in year 2. The investment is depreciated at $1,000 per year. The corporate tax rate is 21%
- Calculate the project's net income plus depreciation for year 1

Example, Project Net Income and Depreciation

- Solution,

Item	$
Revenues − COGS − SG&A expenses	1,100
− Depreciation	1,000
Project EBIT	**100**
− Taxes	21
Project net income	**79**
+ Depreciation	1,000
Project net income + Depreciation	**1,079**

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- Taxes, $21\% \times$ project EBIT $= 21\% \times 100 = 21$
- Project net income + Depreciation $= 79 + 1{,}000 = \$1{,}079$

Component 3, Cash Flow from Changes in NWC

- Recall from **Module 2**,
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- An increase in the project's NWC is a negative cash flow, and a decrease is a positive cash flow,

Cash flow from changes in NWC = −Change in the project's NWC

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Year	0	1	2	3
The project's NWC	100	100	100	0
Change in NWC	$+100$	0	0	-100
Cash flow from changes in NWC	-100	0	0	$+100$

Component 3, Cash Flow from Changes in NWC

- E.g., a 3-year project needs \$100 of NWC while it operates, recovered when the project ends

Year	0	1	2	3
The project's NWC	100	100	100	0
Change in NWC	$+100$	0	0	-100
Cash flow from changes in NWC	-100	0	0	$+100$

- The \$100 goes out at $t = 0$ and returns only at $t = 3$, so tying up the cash still costs the time value of money

Component 4, Cash Flow from Capital Investments

- If the project requires its own investment in fixed assets to get started (e.g., building a data center), that is a negative cash flow

Component 4, Cash Flow from Capital Investments

- If the project requires its own investment in fixed assets to get started (e.g., building a data center), that is a negative cash flow
- Fixed assets are usually depreciated "straight-line" over time,
  - **Expected life**, the number of years the project uses the fixed assets

$$\text{Annual depreciation} = \frac{\text{Capital investment}}{\text{Expected life}}$$

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Recap of Part 1

- Project net income comes from the project's own income statement, revenues less COGS and SG&A expenses, depreciation, and taxes
- Depreciation is not a cash flow, add it back to the project's net income
- An increase in the project's NWC is a negative cash flow, and a decrease is a positive cash flow
- The investment in fixed assets is a negative cash flow, and the fixed assets are depreciated straight-line over the expected life

Module 7, Part 2

Putting It All Together

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- A company is considering building a new data center, an investment in fixed assets of $1 billion ($1,000 million) that will last 5 years. It will be depreciated straight-line over 5 years

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- A company is considering building a new data center, an investment in fixed assets of \$1 billion (\$1,000 million) that will last 5 years. It will be depreciated straight-line over 5 years
- The data center needs an increase in NWC of \$100 million at $t = 0$ (spare servers and parts), recovered fully at $t = 5$

Example, Putting It All Together

- A company is considering building a new data center, an investment in fixed assets of \$1 billion (\$1,000 million) that will last 5 years. It will be depreciated straight-line over 5 years
- The data center needs an increase in NWC of \$100 million at $t = 0$ (spare servers and parts), recovered fully at $t = 5$
- Renting out its computing capacity brings in \$240 million a year after COGS and SG&A expenses (electricity, staff, and so on)

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- Renting out its computing capacity brings in \$240 million a year after COGS and SG&A expenses (electricity, staff, and so on)
- The corporate tax rate is 21%, and the discount rate is 8%
- Should the company build the data center or not?

Identify Project Cash Flow

- Cash flow from a project has four components,

$$\text{Cash flow from a project} = \begin{cases} \text{Project net income} & \text{Component 1} \\ + \text{ Depreciation} & \text{Component 2} \\ \text{Cash flow from changes in NWC} & \text{Component 3} \\ \text{Cash flow from capital investments} & \text{Component 4} \end{cases}$$

Example, Component 1, Project Net Income

- Build the project's income statement, the same in years 1 to 5 ($ millions),

Year	0	1	2	3	4	5

Example, Component 1, Project Net Income

- Build the project's income statement, the same in years 1 to 5 ($ millions),

Year	0	1	2	3	4	5
Revenues − COGS − SG&A expenses		240	240	240	240	240

Example, Component 1, Project Net Income

- Build the project's income statement, the same in years 1 to 5 ($ millions),

Year	0	1	2	3	4	5
Revenues − COGS − SG&A expenses		240	240	240	240	240
− Depreciation		200	200	200	200	200

- Depreciation $= 1{,}000/5 = 200$ a year

Example, Component 1, Project Net Income

- Build the project's income statement, the same in years 1 to 5 ($ millions),

Year	0	1	2	3	4	5
Revenues − COGS − SG&A expenses		240	240	240	240	240
− Depreciation		200	200	200	200	200
Project EBIT		**40**	**40**	**40**	**40**	**40**

- Depreciation $= 1{,}000/5 = 200$ a year

Example, Component 1, Project Net Income

- Build the project's income statement, the same in years 1 to 5 ($ millions),

Year	0	1	2	3	4	5
Revenues − COGS − SG&A expenses		240	240	240	240	240
− Depreciation		200	200	200	200	200
Project EBIT		**40**	**40**	**40**	**40**	**40**
− Taxes		8.4	8.4	8.4	8.4	8.4

- Depreciation $= 1{,}000/5 = 200$ a year
- Taxes $= 21\% \times 40 = 8.4$

Example, Component 1, Project Net Income

- Build the project's income statement, the same in years 1 to 5 ($ millions),

Year	0	1	2	3	4	5
Revenues − COGS − SG&A expenses		240	240	240	240	240
− Depreciation		200	200	200	200	200
Project EBIT		**40**	**40**	**40**	**40**	**40**
− Taxes		8.4	8.4	8.4	8.4	8.4
Project net income		**31.6**	**31.6**	**31.6**	**31.6**	**31.6**

- Depreciation $= 1{,}000/5 = 200$ a year
- Taxes $= 21\% \times 40 = 8.4$

Example, Component 2, Depreciation

- Depreciation is not a cash flow, add it back ($ millions),

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Project net income		31.6	31.6	31.6	31.6	31.6

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- Depreciation is not a cash flow, add it back ($ millions),

Year	0	1	2	3	4	5
Project net income		31.6	31.6	31.6	31.6	31.6
+ Depreciation		200	200	200	200	200

Example, Component 2, Depreciation

- Depreciation is not a cash flow, add it back ($ millions),

Year	0	1	2	3	4	5
Project net income		31.6	31.6	31.6	31.6	31.6
+ Depreciation		200	200	200	200	200
Project net income + Depreciation		**231.6**	**231.6**	**231.6**	**231.6**	**231.6**

- The cash for the data center went out at $t = 0$, it is counted in Component 4

Example, Component 3, Cash Flow from Changes in NWC

- The project's NWC is 100 while it operates, recovered at $t = 5$ ($ millions),

Year	0	1	2	3	4	5

Example, Component 3, Cash Flow from Changes in NWC

- The project's NWC is 100 while it operates, recovered at $t = 5$ ($ millions),

Year	0	1	2	3	4	5
The project's NWC	100	100	100	100	100	0

Example, Component 3, Cash Flow from Changes in NWC

- The project's NWC is 100 while it operates, recovered at $t = 5$ ($ millions),

Year	0	1	2	3	4	5
The project's NWC	100	100	100	100	100	0
Change in NWC	+100	0	0	0	0	−100

Example, Component 3, Cash Flow from Changes in NWC

- The project's NWC is 100 while it operates, recovered at $t = 5$ ($ millions),

Year	0	1	2	3	4	5
The project's NWC	100	100	100	100	100	0
Change in NWC	+100	0	0	0	0	−100
Cash flow from changes in NWC	**−100**	**0**	**0**	**0**	**0**	**+100**

- An increase in NWC is a negative cash flow, and a decrease is a positive cash flow

Example, Component 4, Cash Flow from Capital Investments

- Investment in fixed assets at $t = 0$ ($ millions),

Year	0	1	2	3	4	5

Example, Component 4, Cash Flow from Capital Investments

- Investment in fixed assets at $t = 0$ ($ millions),

Year	0	1	2	3	4	5
Investment in fixed assets	−1,000	0	0	0	0	0

Example, Component 4, Cash Flow from Capital Investments

- Investment in fixed assets at $t = 0$ ($ millions),

Year	0	1	2	3	4	5
Investment in fixed assets	−1,000	0	0	0	0	0
Cash flow from capital investments	**−1,000**	**0**	**0**	**0**	**0**	**0**

Example, Total Cash Flows

- Add up the four components year by year ($ millions),

Year	0	1	2	3	4	5

Example, Total Cash Flows

- Add up the four components year by year ($ millions),

Year	0	1	2	3	4	5
Project net income + Depreciation	0	231.6	231.6	231.6	231.6	231.6

Example, Total Cash Flows

- Add up the four components year by year ($ millions),

Year	0	1	2	3	4	5
Project net income + Depreciation	0	231.6	231.6	231.6	231.6	231.6
Cash flow from changes in NWC	−100	0	0	0	0	+100

Example, Total Cash Flows

- Add up the four components year by year ($ millions),

Year	0	1	2	3	4	5
Project net income + Depreciation	0	231.6	231.6	231.6	231.6	231.6
Cash flow from changes in NWC	−100	0	0	0	0	+100
Cash flow from capital investments	−1,000	0	0	0	0	0

Example, Total Cash Flows

- Add up the four components year by year ($ millions),

Year	0	1	2	3	4	5
Project net income + Depreciation	0	231.6	231.6	231.6	231.6	231.6
Cash flow from changes in NWC	−100	0	0	0	0	+100
Cash flow from capital investments	−1,000	0	0	0	0	0
Total cash flows	**−1,100**	**231.6**	**231.6**	**231.6**	**231.6**	**331.6**

- At $t = 0$, $-1{,}000 - 100 = -1{,}100$. At $t = 5$, $231.6 + 100 = 331.6$

Example, NPV and the Decision

- Discount the total cash flows at the 8% discount rate ($ millions),

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$$\text{NPV} = -1{,}100 + \frac{231.6}{1.08} + \frac{231.6}{1.08^2} + \frac{231.6}{1.08^3} + \frac{231.6}{1.08^4} + \frac{331.6}{1.08^5} = -107.23$$

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- NPV < 0, so the company should not build the data center

Example, NPV with the Cash Flow Worksheet

One cash flow at a time

Enter	Keys
	CF, **2nd**, **CLR Work**
−1100	**ENTER**, ↓
231.6	**ENTER**, ↓ ↓
231.6	**ENTER**, ↓ ↓
231.6	**ENTER**, ↓ ↓
231.6	**ENTER**, ↓ ↓
331.6	**ENTER**
	NPV (the calculator asks for I)
8	**ENTER**, ↓
	CPT
−107.23	

Example, NPV with the Cash Flow Worksheet

One cash flow at a time

Enter	Keys
	CF, 2nd, CLR Work
−1100	ENTER, ↓
231.6	ENTER, ↓ ↓
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231.6	ENTER, ↓ ↓
231.6	ENTER, ↓ ↓
331.6	ENTER
	NPV (the calculator asks for I)
8	ENTER, ↓
	CPT
−107.23	

Repeated cash flow with frequency

Enter	Keys
	CF, 2nd, CLR Work
−1100	ENTER, ↓
231.6	ENTER, ↓
4	ENTER (the frequency F01), ↓
331.6	ENTER
	NPV (the calculator asks for I)
8	ENTER, ↓
	CPT
−107.23	

Example, IRR with the Cash Flow Worksheet

- Recall from **Module 6**, the IRR is the discount rate at which NPV $= 0$

Example, IRR with the Cash Flow Worksheet

- Recall from **Module 6**, the IRR is the discount rate at which $\text{NPV} = 0$
- The same cash flow worksheet, then **IRR**, **CPT**

Enter	Keys
	CF, **2nd**, **CLR Work**
-1100	**ENTER**, ↓
231.6	**ENTER**, ↓
4	**ENTER** (the frequency F01), ↓
331.6	**ENTER**
	IRR (shows 0)
	CPT
4.41%	

Example, IRR with the Cash Flow Worksheet

- Recall from **Module 6**, the IRR is the discount rate at which NPV $= 0$
- The same cash flow worksheet, then **IRR**, **CPT**
- IRR (4.41%) $<$ discount rate (8%), reject the project, the same answer as the NPV rule

Enter	Keys
	CF, **2nd**, **CLR Work**
-1100	**ENTER**, ↓
231.6	**ENTER**, ↓
4	**ENTER** (the frequency F01), ↓
331.6	**ENTER**
	IRR (shows 0)
	CPT
4.41%	

Module 7, Part 3

The Principles behind Project Cash Flows

General Principles for Identifying Project Cash Flow

- Look back at the data center table. It quietly followed three principles,

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- Look back at the data center table. It quietly followed three principles,

1. Discount cash flows, not net income
2. Exclude cash flows from financing activities
3. Only consider incremental cash flows

Principle 1, Discount Cash Flows, Not Net Income

- Net income $\neq$ cash flows

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- Differences in how capital investments, depreciation, and NWC are handled
- We always discount the actual cash flows to their present value
- We do not discount net income

Example, Net Income vs. Cash Flows

- A project requires an investment in fixed assets of $2,000 and lasts 2 years. The fixed assets are depreciated straight-line at $1,000 per year

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- The discount rate is 10%

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- Compare the NPV using net income to the NPV using cash flows

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- Compare the NPV using net income to the NPV using cash flows

Clearly a money-loser!

Example, Net Income vs. Cash Flows

- Solution,

Year	0	1	2

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- Solution,

Year	0	1	2
Revenues − COGS − SG&A expenses		1,500	500
− Depreciation		1,000	1,000

Example, Net Income vs. Cash Flows

- Solution,

Year	0	1	2
Revenues − COGS − SG&A expenses		1,500	500
− Depreciation		1,000	1,000
Project net income		**500**	**−500**

Example, Net Income vs. Cash Flows

- Solution,

Year	0	1	2
Revenues − COGS − SG&A expenses		1,500	500
− Depreciation		1,000	1,000
Project net income		**500**	**−500**
+ Depreciation		1,000	1,000
Project net income + Depreciation	**0**	**1,500**	**500**

Example, Net Income vs. Cash Flows

- Solution,

Year	0	1	2
Revenues − COGS − SG&A expenses		1,500	500
− Depreciation		1,000	1,000
Project net income		**500**	**−500**
+ Depreciation		1,000	1,000
Project net income + Depreciation	**0**	**1,500**	**500**
Cash flow from capital investments	−2,000	0	0

Example, Net Income vs. Cash Flows

- Solution,

Year	0	1	2
Revenues − COGS − SG&A expenses		1,500	500
− Depreciation		1,000	1,000
Project net income		**500**	**−500**
+ Depreciation		1,000	1,000
Project net income + Depreciation	**0**	**1,500**	**500**
Cash flow from capital investments	−2,000	0	0
Total cash flows	**−2,000**	**1,500**	**500**

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+ Depreciation		1,000	1,000
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- NPV using net income $= \frac{500}{1.10} - \frac{500}{1.10^2} = \$41.32$, which says take the project

Example, Net Income vs. Cash Flows

- Solution,

Year	0	1	2
Revenues − COGS − SG&A expenses		1,500	500
− Depreciation		1,000	1,000
Project net income		**500**	**−500**
+ Depreciation		1,000	1,000
Project net income + Depreciation	**0**	**1,500**	**500**
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Total cash flows	**−2,000**	**1,500**	**500**

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- NPV using cash flows $= -2{,}000 + \frac{1{,}500}{1.10} + \frac{500}{1.10^2} = -\$223.14$

Example, Net Income vs. Cash Flows

- Solution,

Year	0	1	2
Revenues − COGS − SG&A expenses		1,500	500
− Depreciation		1,000	1,000
Project net income		**500**	**−500**
+ Depreciation		1,000	1,000
Project net income + Depreciation	**0**	**1,500**	**500**
Cash flow from capital investments	−2,000	0	0
Total cash flows	**−2,000**	**1,500**	**500**

- NPV using net income $= \frac{500}{1.10} - \frac{500}{1.10^2} = \$41.32$, which says take the project
- NPV using cash flows $= -2{,}000 + \frac{1{,}500}{1.10} + \frac{500}{1.10^2} = -\$223.14$
- NPV < 0, so the project should be rejected, net income gets it wrong

Principle 2, Exclude Cash Flows from Financing Activities

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- Capital budgeting is about the investment decision, not the financing decision (how to pay for the project)
- Project cash flows exclude cash flows from financing activities
  - No interest is subtracted, and no interest tax shield is counted
- The mini-income statement for this data center project has no interest line, even if the company borrows to build it

Principle 3, Only Consider Incremental Cash Flows

- We need to discount **incremental** cash flows. What does "incremental" mean in capital budgeting?

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  - If no, include it

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Incremental cash flow = Cash flow with the project − Cash flow without it

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$$\text{Incremental cash flow} = \text{Cash flow with the project} - \text{Cash flow without it}$$

- In the data center table, the rental income and the spare parts exist only because of the data center, so they count

Incremental Cash Flows, a Few Rules That Are Easy to Forget

a. Include all indirect effects

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f. Remember terminal cash flows

Rule a, Indirect Effects

- What are indirect effects? E.g., cannibalization and externalities





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- Nintendo plans a new-generation gaming console. It requires an investment of $200m and produces cash flows of $400m and $800m in years 1 and 2. Looks like a great investment!





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- Nintendo plans a new-generation gaming console. It requires an investment of $200m and produces cash flows of $400m and $800m in years 1 and 2. Looks like a great investment!
- But the launch will hurt sales of the older console, forecast to create $800m and $1,000m in years 1 and 2, only $500m and $400m with the new one on the market





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- What are indirect effects? E.g., cannibalization and externalities
- Nintendo plans a new-generation gaming console. It requires an investment of \$200m and produces cash flows of \$400m and \$800m in years 1 and 2. Looks like a great investment!
- But the launch will hurt sales of the older console, forecast to create \$800m and \$1,000m in years 1 and 2, only \$500m and \$400m with the new one on the market
- What is the **incremental** cash flow of the new console?





Rule a, Indirect Effects

- Solution ($ millions),

Year	0	1	2
Cash flow from the old console without the new one		800	1,000
Cash flow from the old console with the new one		500	400
Cash flow from investment in and sales of the new one	−200	400	800
Incremental cash flow of the new console	−200	$400 - 300 = 100$	$800 - 600 = 200$

Rule b, Sunk Costs

- **Sunk costs**, expenses already paid, or which cannot be changed by the investment decision
  - E.g., anything done in the past (previous R&D), or anything that can no longer be changed (rent under an unbreakable lease)



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- They do not affect incremental cash flows, so they do not affect the NPV of a decision. Ignore them!
- Many sunk costs are "related" to a project, but no longer incremental if the current decision does not affect them



Example, Sunk Costs

- Your company has developed a new product that is almost ready to launch. The R&D cost $0.6 million and was completed last year
- Launching requires another $1 million investment (marketing and so on), with a present value of the project's future cash flows of $1.5 million

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- Is this project a good idea today?

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- Launching requires another $1 million investment (marketing and so on), with a present value of the project's future cash flows of $1.5 million
- Is this project a good idea today?
- Was this project a good idea last year?

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- E.g., you plan a new factory building that costs $10m to construct, on a piece of land you already own (and do not need for anything else). Alternatively, you could sell the land for $3m

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- Recognize and include the **opportunity cost** of every resource, the value of its "best alternative use"
- E.g., you plan a new factory building that costs $10m to construct, on a piece of land you already own (and do not need for anything else). Alternatively, you could sell the land for $3m
- What is the actual cost of building the factory?

Rule d, Overhead

- **Overhead**, ongoing administrative expenses of a business that cannot be attributed to any specific business activity, but are still necessary for the business to function
  - E.g., rent and utilities of the central office, top management salaries

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- **Overhead**, ongoing administrative expenses of a business that cannot be attributed to any specific business activity, but are still necessary for the business to function
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- The principle of incremental cash flows says only *changes* in overhead that result from a project count

Rule e, Changes in NWC

- If a project needs its own NWC (and most do!), the cash flows from changes in NWC belong in the analysis
  - Easy to forget! (The data center had them, -100 at $t = 0$ and $+100$ at $t = 5$)

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  - Only changes in NWC that are incremental to the project count
- The project's NWC often keeps changing during the project, and is often recovered at the end
- Common mistakes,
  1. Forgetting about NWC entirely
  2. Forgetting that NWC may change during the life of the project
  3. Forgetting that NWC is often recovered at the end of the project

Rule f, Terminal Cash Flows

- At the end, there may be cash flows from shutting down the project, the "terminal" cash flows
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  - E.g., selling the project's fixed assets, a positive cash flow!
- E.g., in the data center example, suppose it could be sold for \$500 million at $t = 5$, a terminal cash flow of 500
- Discounted, it adds $500/1.08^5 = \$340.29$ million, and now the NPV is positive, $-107.23 + 340.29 = +\$233.06$ million

Example, the Data Center with a Terminal Cash Flow

- Solution ($ millions), the sale enters Component 4, the cash flow from capital investments, at $t = 5$,

Year	0	1	2	3	4	5
Revenues − COGS − SG&A expenses		240	240	240	240	240
− Depreciation		200	200	200	200	200
Project EBIT		**40**	**40**	**40**	**40**	**40**
− Taxes		8.4	8.4	8.4	8.4	8.4
Project net income		**31.6**	**31.6**	**31.6**	**31.6**	**31.6**
+ Depreciation		200	200	200	200	200
Project net income + Depreciation		**231.6**	**231.6**	**231.6**	**231.6**	**231.6**
Cash flow from changes in NWC	−100	0	0	0	0	+100
Investment in fixed assets	−1,000	0	0	0	0	0
Sale of the data center	0	0	0	0	0	+500
Total cash flows	**−1,100**	**231.6**	**231.6**	**231.6**	**231.6**	**831.6**
NPV	**233.06**					

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- Terminal cash flows can also be negative, e.g., if we have to pay to shut down the project



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- E.g., oil wells require "capping" when they no longer produce. Capping is expensive, so oil well projects are worth more if you do not cap them (although this is illegal!)
- But apparently many companies still do this, Bloomberg, "It Pays to Not Pay Your Debts"



Practice Problem

- A company plans a new manufacturing plant on a site it already owns, but the existing buildings must be demolished. Which of the following are incremental cash flows?

a. The market value of the site
b. The market value of the existing buildings
c. Demolition costs and site clearance
d. The cost of a new access road put in last year
e. Lost cash flows on other projects due to executive time spent on the new facility
f. Future depreciation of the new plant
g. The reduction in the company's tax bill resulting from depreciation of the new plant
h. The initial investment in inventories of raw materials
i. Money already spent on engineering design of the new plant

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i. The expenditure on design is a sunk cost and not an incremental cash flow

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Module 7, Part 4

Full-Scale Capital Budgeting Problems

Example, the Data Center Again

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  - An investment in fixed assets of 1,000 that lasts 5 years, depreciated straight-line over 5 years

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- This time, build the whole table in one go

Example, the Data Center Again

- Solution ($ millions), Components 1 and 2, then 3, then 4, then the totals

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Cash flow from changes in NWC	−100	0	0	0	0	+100
Cash flow from capital investments	−1,000	0	0	0	0	0
Total cash flows	**−1,100**	**231.6**	**231.6**	**231.6**	**231.6**	**331.6**
NPV	**−107.23**					

- NPV = −$107.23 million, reject the project, the same answer as in Part 2

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4. Total the cash flows year by year, discount at the discount rate, and apply the NPV rule

Example, Growing Sales

- A company makes bottles and just developed a new bottle design
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- The new design needs an investment in fixed assets (machinery) of \$6 million, depreciated straight-line over 6 years
- It needs an increase in NWC of \$250,000 at $t = 0$, recovered fully at $t = 6$
- It sells 1 million bottles in year 1, growing at 5% a year over the six years. Each bottle sells for \$4.00, and its COGS is \$2.00. There are no SG&A expenses

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- The project ends after 6 years. The corporate tax rate is 21%, and the discount rate is 12%

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- The project ends after 6 years. The corporate tax rate is 21%, and the discount rate is 12%
- What is the project's NPV?

Example, Growing Sales

- Components 1 and 2, project net income and depreciation ($ thousands),

Year	1	2	3	4	5	6
Bottles sold (thousands)	1,000	1,050	1,103	1,158	1,216	1,276
Revenues	4,000	4,200	4,410	4,631	4,862	5,105
− COGS	2,000	2,100	2,205	2,315	2,431	2,553
− Depreciation	1,000	1,000	1,000	1,000	1,000	1,000
Project EBIT	**1,000**	**1,100**	**1,205**	**1,315**	**1,431**	**1,553**
− Taxes	210	231	253	276	301	326
Project net income	**790**	**869**	**952**	**1,039**	**1,130**	**1,227**
+ Depreciation	1,000	1,000	1,000	1,000	1,000	1,000
Project net income + Depreciation	**1,790**	**1,869**	**1,952**	**2,039**	**2,130**	**2,227**

Example, Growing Sales

- Components 3 and 4, then the total cash flows ($ thousands),

Year	0	1	2	3	4	5	6
Project net income + Depreciation	0	1,790	1,869	1,952	2,039	2,130	2,227
Cash flow from changes in NWC	−250	0	0	0	0	0	+250
Cash flow from capital investments	−6,000	0	0	0	0	0	0
Total cash flows	**−6,250**	**1,790**	**1,869**	**1,952**	**2,039**	**2,130**	**2,477**
PV at 12%	−6,250	1,598	1,490	1,389	1,296	1,209	1,255
NPV	**1,987**						

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- NPV > 0, so the company should launch the new design

Practice Problem

- A company has developed a new mousetrap. It needs an investment in fixed assets of $6.3 million, depreciated straight-line over 6 years
- Its NWC at each date must be 10% of next year's revenues. Each trap sells for $7, and its COGS is $1.80. The project ends after 6 years. The corporate tax rate is 21%, and the discount rate is 11%

Year	0	1	2	3	4	5	6	After
Traps sold (thousands)	0	600	800	900	900	500	200	0

Practice Problem

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Practice Problem

- Suppose the company can cut its NWC in half with better inventory control. By how much does this increase the project's NPV?
- Solution ($ thousands), NWC at each date is 10% of next year's revenues,

Year	0	1	2	3	4	5	6
Traps sold (thousands)		600	800	900	900	500	200
Revenues		4,200	5,600	6,300	6,300	3,500	1,400
The project's NWC	420	560	630	630	350	140	0
Change in NWC	+420	+140	+70	0	−280	−210	−140
Cash flow from changes in NWC	−420	−140	−70	0	+280	+210	+140

Practice Problem

- With NWC halved ($ thousands),

Year	0	1	2	3	4	5	6
NWC (halved)	210	280	315	315	175	70	0
Cash flow from changes in NWC	−210	−70	−35	0	+140	+105	+70
Change in cash flow	+210	+70	+35	0	−140	−105	−70

Practice Problem

- With NWC halved ($ thousands),

Year	0	1	2	3	4	5	6
NWC (halved)	210	280	315	315	175	70	0
Cash flow from changes in NWC	−210	−70	−35	0	+140	+105	+70
Change in cash flow	+210	+70	+35	0	−140	−105	−70

- Discounting the changes in cash flow at the 11% discount rate, the NPV rises by $109,500

Key Takeaways

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- Lay the years out in a table, total the cash flows, discount, and apply the NPV rule

Thank you!

Please let me know if you have any questions.